

In Brief

Posted:

5:35 AM PDT · July 1, 2025



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- [Ram Iyer](#)

xAI raises \$10B in debt and equity

Elon Musk's AI company, xAI, has raised \$10 billion in debt and equity, Morgan Stanley confirmed on Monday.

In a [post on X](#), the financial giant said xAI had raised \$5 billion in debt and another \$5 billion in a separate strategic equity transaction.

"The combination of debt and equity reduces the overall cost of capital and substantially expands pools of capital available to xAI. The proceeds will support xAI's continued development of cutting-edge AI solutions, including one of the world's largest data center [sic] and its flagship Grok platform," Morgan Stanley wrote.

xAI did not immediately return a request for comment outside regular business hours.

This latest funding follows [a \\$6 billion round](#) that the company raised in December from a slate of big-name investors, including Andreessen Horowitz, Blackrock, Fidelity, Lightspeed, MGX, Morgan Stanley, OIA, QIA, Sequoia Capital, Valor Equity Partners, Vy Capital, Nvidia, AMD, and Kingdom Holdings, a Saudi conglomerate.

The new equity round brings xAI's total capital raised to about \$17 billion.

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